

Baidu BIDU.OQ BIDU US

EQUITY: INTERNET & NEW MEDIA

Near-term catalysts intact

Management aims to complete Kunlunxin IPO and secure primary listing in Hong Kong this year; maintain Buy

Maintain Buy on approaching Kunlunxin IPO despite near-term headwinds

Baidu General Business (BGB) reported 2Q26 revenue and non-GAAP operating profit (OP), largely in line with lowered market expectations. However, reported non-GAAP net profit missed Bloomberg consensus estimates due to reduced non-operating income. BGB's revenue declined 4% y-y, while OP contracted 13% y-y. As highlighted in our [preview note](#), Baidu's advertising and AI cloud infrastructure segments continue to exhibit diverging trends: advertising revenue fell a further 19% y-y, whereas AI infrastructure revenue surged nearly 50% y-y. The growth was primarily driven by a 2.8x y-y acceleration in subscription-based revenue from the company's AI accelerator infrastructure. Non-GAAP operating profit margin (OPM) contracted 1.5pp y-y, hampered by softness in the high-margin ad business and accelerated investments in AI. Management indicated a strategic focus on elevating its proprietary large language model (LLM), Ernie Bot, back to a top-tier competitive position. Consequently, Baidu ramped up spending in the second quarter to acquire talent and build out the requisite infrastructure. This drove quarterly capex to CNY11bn (accounting for 45% of revenue), up significantly from less than CNY4bn in the prior-year period. However, management expects the capex run-rate to normalize in the coming quarters and plans to explore leasing and alternative avenues to secure compute capacity, thus mitigating the strain on future cash flows. Given the combination of elevated investments and weakening advertising revenues, we project OPM to moderate further to 9% in the third quarter from 15% in the second quarter.

While the sustained decline in advertising revenue and elevated AI investments pose near-term headwinds to profitability, we retain our Buy rating, anchored by [the anticipated IPO of Baidu's chip subsidiary, Kunlunxin \(KLX\)](#). Although management did not provide a precise updated timeline, it appeared optimistic about completing the IPO in the current year. Concurrently, Baidu has filed with the Hong Kong Stock Exchange to convert its listing status to a primary listing, which would pave the way for its HK shares to be included in the Southbound Stock Connect program. To account for the impact of higher AI investments on margins, we reduce our FY26F and FY27F non-GAAP EPS estimates by 12% and 9%, respectively. We maintain Buy on Baidu, but lower our target price by 10% to USD154 on our reduced earnings estimates, implying an unchanged 20x FY27F P/E, vs. 13.8x currently.

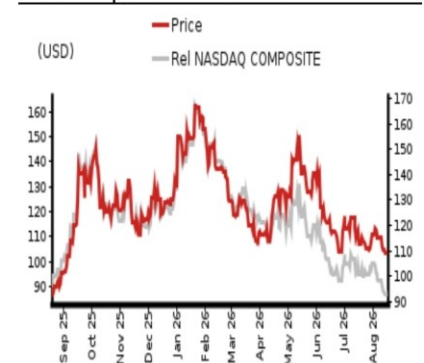
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Year-end 31 Dec	FY25		FY26F		FY27F		FY28F	
Currency (CNY)	Actual	Old	New	Old	New	Old	New	
Revenue (mn)	129,079	130,564	128,263	141,382	139,545	161,420	152,949	
Reported net profit (mn)	5,589	14,606	12,618	16,650	14,934	18,590	16,150	
Normalised net profit (mn)	18,941	17,399	15,385	19,122	17,380	20,781	18,311	
FD normalised EPS	55.22	50.72	44.85	55.75	50.67	60.59	53.38	
FD norm. EPS growth (%)	-28.5	-8.1	-18.8	9.9	13.0	8.7	5.4	
FD normalised P/E (x)	13.4	—	15.6	—	13.8	—	13.1	
EV/EBITDA (x)	8.2	—	8.4	—	8.6	—	8.0	
Price/book (x)	0.9	—	0.8	—	0.8	—	0.7	
Dividend yield (%)	—	—	—	—	—	—	—	
ROE (%)	2.1	5.3	4.6	5.7	5.1	5.9	5.2	
Net debt/equity (%)	24.3	18.4	21.6	16.9	23.9	11.0	22.4	

Source: Company data, Nomura estimates

Rating	Buy
Remains	
Target price	USD 154.00
Reduced from	USD 170.00
Closing price	USD 104.12
17 August 2026	
Implied upside	+47.9%
Market Cap (USD mn)	35,431.3
ADT (USD mn)	263.0

Relative performance chart



Source: LSEG, Nomura

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Key data on Baidu

Performance

(%)	1M	3M	12M		
Absolute (USD)	-2.9	-23.1	15.9	M cap (USDmn)	35,431.3
Absolute (USD)	-2.9	-23.1	15.9	Free float (%)	78.9
Rel to NASDAQ COMPOSITE	-7.3	-24.7	-7.3	3-mth ADT (USDmn)	263.0

Income statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Revenue	133,125	129,079	128,263	139,545	152,949
Cost of goods sold	-66,102	-72,436	-79,930	-88,400	-97,118
Gross profit	67,023	56,643	48,333	51,144	55,831
SG&A	-41,430	-43,060	-35,986	-38,762	-42,218
Employee share expense	-4,323	-3,216	-2,837	-2,548	-2,296
Operating profit	21,270	10,367	9,510	9,834	11,317
EBITDA	35,898	24,966	23,889	25,338	28,157
Depreciation	-6,844	-7,907	-7,729	-8,269	-8,910
Amortisation	-7,784	-6,692	-6,650	-7,235	-7,930
EBIT	21,270	10,367	9,510	9,834	11,317
Net interest expense	5,138	5,818	5,500	5,000	5,000
Associates & JCEs					
Other income	2,214	6,721	500	3,500	3,500
Earnings before tax	28,622	22,906	15,510	18,334	19,817
Income tax	-4,447	-1,259	-2,792	-3,300	-3,567
Net profit after tax	24,175	21,647	12,718	15,034	16,250
Minorities	-415	132	-100	-100	-100
Other items	3,242	-2,838	2,767	2,445	2,161
Preferred dividends					
Normalised NPAT	27,002	18,941	15,385	17,380	18,311
Extraordinary items	-3,242	-13,352	-2,767	-2,445	-2,161
Reported NPAT	23,760	5,589	12,618	14,934	16,150
Dividends					
Transfer to reserves	23,760	5,589	12,618	14,934	16,150

Valuations and ratios

Reported P/E (x)	11.0	45.6	19.0	16.0	14.8
Normalised P/E (x)	9.7	13.4	15.6	13.8	13.1
FD normalised P/E (x)	9.7	13.4	15.6	13.8	13.1
Dividend yield (%)	—	—	—	—	—
Price/cashflow (x)	12.3	—	6.3	9.1	5.7
Price/book (x)	1.0	0.9	0.8	0.8	0.7
EV/EBITDA (x)	5.3	8.2	8.4	8.6	8.0
EV/EBIT (x)	8.9	19.7	21.1	22.3	19.9
Gross margin (%)	50.3	43.9	37.7	36.7	36.5
EBITDA margin (%)	27.0	19.3	18.6	18.2	18.4
EBIT margin (%)	16.0	8.0	7.4	7.0	7.4
Net margin (%)	17.8	4.3	9.8	10.7	10.6
Effective tax rate (%)	15.5	5.5	18.0	18.0	18.0
Dividend payout (%)	0.0	0.0	0.0	0.0	0.0
ROE (%)	9.4	2.1	4.6	5.1	5.2
ROA (pretax %)	5.6	2.5	2.2	2.2	2.4

Growth (%)

Revenue	-1.1	-3.0	-0.6	8.8	9.6
EBITDA	-2.4	-30.5	-4.3	6.1	11.1
Normalised EPS	-4.5	-28.5	-18.8	13.0	5.4
Normalised FDEPS	-4.5	-28.5	-18.8	13.0	5.4

Source: Company data, Nomura estimates

Cashflow statement (CNYmn)

Year-end 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
EBITDA	35,898	24,966	23,889	25,338	28,157
Change in working capital	-2,768	-10,696	7,473	-7,057	6,088
Other operating cashflow	-11,896	-17,283	6,379	8,052	7,513
CF from operations	21,234	-3,013	37,741	26,333	41,757
Capital expenditure	-8,259	-13,417	-34,025	-37,460	-41,626
Free cashflow	12,975	-16,430	3,716	-11,127	131
Reduction in investments	-16,577	0	0	0	
Net acquisitions					
Dec in other LT assets	2,676	0	0	0	
Inc in other LT liabilities	729	0	0	0	
Adjustments	-296	1,453	0	0	0
CF after investing acts	12,679	-28,149	3,716	-11,127	131
Cash dividends	0	0	0	0	0
Equity issue	41	0	0	0	0
Debt issue	16,296	32,202	0	0	0
Convertible debt issue	0	2,490	0	0	0
Others	-29,221	-18,241	121	157	204
CF from financial acts	-12,884	16,451	121	157	204
Net cashflow	-205	-11,698	3,837	-10,970	335
Beginning cash	36,734	36,529	24,831	28,668	17,698
Ending cash	36,529	24,831	28,668	17,698	18,033
Ending net debt	34,109	64,681	60,844	71,814	71,479

Balance sheet (CNYmn)

As at 31 Dec	FY24	FY25	FY26F	FY27F	FY28F
Cash & equivalents	36,529	24,831	28,668	17,698	18,033
Marketable securities	102,608	90,661	90,661	90,661	90,661
Accounts receivable	10,104	12,972	11,364	16,642	15,730
Inventories	0	0	0	0	0
Other current assets	19,608	23,506	23,506	23,506	23,506
Total current assets	168,849	151,970	154,199	148,507	147,930
LT investments	140,256	168,780	168,780	168,780	168,780
Fixed assets	30,102	26,281	51,242	78,980	110,104
Goodwill	22,586	36,783	36,783	36,783	36,783
Other intangible assets	22,397	24,429	19,115	13,333	6,996
Other LT assets	43,590	40,914	40,914	40,914	40,914
Total assets	427,780	449,157	471,032	487,297	511,507
Short-term debt	19,105	28,410	28,410	28,410	28,410
Accounts payable	41,443	38,891	44,061	41,384	45,569
Other current liabilities	20,405	19,027	19,722	20,619	21,611
Total current liabilities	80,953	86,328	92,193	90,414	95,590
Long-term debt	51,943	61,102	61,102	61,102	61,102
Convertible debt					
Other LT liabilities	11,272	12,001	12,001	12,001	12,001
Total liabilities	144,168	159,431	165,296	163,517	168,693
Minority interest	19,992	23,396	23,496	23,596	23,696
Preferred stock					
Common stock	91,586	94,979	95,100	95,257	95,461
Retained earnings	180,073	177,694	193,484	211,270	230,000
Proposed dividends					
Other equity and reserves	-8,039	-6,343	-6,343	-6,343	-6,343
Total shareholders' equity	263,620	266,330	282,241	300,184	319,118
Total equity & liabilities	427,780	449,157	471,032	487,297	511,507

Liquidity (x)

Current ratio	2.09	1.76	1.67	1.64	1.55
Interest cover	—	—	—	—	—

Leverage

Net debt/EBITDA (x)	0.95	2.59	2.55	2.83	2.54
Net debt/equity (%)	12.94	24.29	21.56	23.92	22.40

Per share

Reported EPS (CNY)	67.93	16.29	36.79	43.54	47.08
Norm EPS (CNY)	77.20	55.22	44.85	50.67	53.38
FD norm EPS (CNY)	77.20	55.22	44.85	50.67	53.38
BVPS (CNY)	755.90	781.60	836.66	889.85	945.98
DPS (CNY)	0.00	0.00	0.00	0.00	0.00

Activity (days)

Days receivable	28.7	32.6	34.6	36.6	38.7
Days inventory	0.0	0.0	0.0	0.0	0.0
Days payable	218.6	202.4	189.4	176.4	163.8
Cash cycle	-189.8	-169.8	-154.8	-139.8	-125.1

Source: Company data, Nomura estimates

Company profile

Baidu operates China's largest internet search engine. It offers online marketing service and cloud service, among others. Its subsidiary iQIYI offers long-form video entertainment service.

Valuation Methodology

Our SOTP-based TP is USD154. We value Baidu Core's ads business at USD1.5bn, based on a FY27F P/E of 2x. We value Baidu's new businesses including cloud, chips, SaaS and Robotaxi, etc. at USD27.5bn. The benchmark index for the stock is Nasdaq Composite.

Risks that may impede the achievement of the target price

Downside risks include: 1) faster-than-expected deterioration in its traditional search ads; 2) slower-than-expected cloud and chip revenue; and 3) new regulations on other ad verticals.

ESG

Baidu's business is environmental friendly as it does not cause pollution or generate greenhouse gas. The company has also been investing in electric vehicle business.

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Shift in capital allocation towards AI Investments

Baidu's pace of share repurchases decelerated in the second quarter. The company spent USD87mn on buybacks, down from USD172mn in the first quarter of 2026, reflecting a strategic pivot toward AI investments. Nevertheless, management noted it will review the full-year capital returns program holistically when determining the annual dividend payout at year-end. Baidu ended the second quarter with USD26bn in net cash, which, by our calculations, represents approximately 75% of its current market capitalization.

Fig. 1: Baidu General Business – 2Q26 results review

Baidu General Business (BGB, Baidu ex-QIYI)									
CNYmn	2Q26	1Q26	2Q25	YoY	QoQ	Cons.	vs Cons.	NMR E	vs NMR
Revenue	25,183	26,001	26,251	-4.1%	-3.1%	25,145	0%	25,064	0%
incl. Online marketing	13,100	12,600	16,213	-19.2%	4.0%	12,892	2%	12,577	4%
AI Cloud	9,800	11,300	7,300	34.2%	-13.3%	9,133	7%	9,987	-2%
- AI Cloud Infra	7,300	8,800	4,900	49.0%	-17.0%	na	na	7,419	-2%
- AI Applications	2,500	2,500	2,400	4.2%	0.0%	na	na	2,568	-3%
Others	2,283	2,101	2,738	-16.6%	8.7%	3,120	-27%	2,500	-9%
Non-GAAP OP	3,818	3,950	4,385	-12.9%	-3.3%	3,630	5%	3,765	1%
Non-GAAP OP margin	15.2%	15.2%	16.7%	-1.5ppt	0.0ppt	14.4%	0.7ppt	15.0%	0.1ppt
Non-GAAP NP	2,672	4,434	4,792	-44%	-40%	3,258	-18%	2,130	25%
Non-GAAP NP margin	10.6%	17.1%	18.3%	-7.6ppt	-6.4ppt	13.0%	-2.3ppt	8.5%	2.1ppt

Source: Company data, Bloomberg Finance L.P., Nomura estimates

Fig. 2: Baidu consolidated – 2Q26 results review

2Q26 results review									
CNYmn	2Q26	1Q26	2Q25	YoY	QoQ	Cons.	vs Cons.	NMR E	vs NMR
Revenues	31,325	32,075	32,713	-4%	-2%	31,587	-1%	31,268	0%
Gross profit	12,227	12,486	14,356	-15%	-2%	12,899	-5%	12,701	-4%
Gross margin	39.0%	38.9%	43.9%	-4.9ppt	0.1ppt	40.8%	-1.8ppt	40.6%	-1.6ppt
Non-GAAP op	3,785	3,807	4,445	-15%	-1%	3,610	5%	3,769	0%
Non-GAAP op margin	12.1%	11.9%	13.6%	-1.5ppt	0.2ppt	11.4%	0.7ppt	12.1%	0.0ppt
Non-GAAP net profit	2,573	4,332	4,795	-46%	-41%	3,198	-20%	2,241	15%
Non-GAAP net margin	8.2%	13.5%	14.7%	-6.4ppt	-5.3ppt	10.1%	-1.9ppt	7.2%	1.0ppt
Non-GAAP EPS (CNY)	7.22	12.06	13.58	-47%	-40%	9.75	-26%	6.52	11%

Source: Company data, Bloomberg Finance L.P., Nomura estimates

Fig. 3: Baidu General Business – earnings estimate revisions

Nomura's Baidu General Business new estimates vs old						
(CNYmn)	FY26F			FY27F		
	New	Old	Diff	New	Old	Diff
Revenue	103,931	105,596	-2%	114,530	115,548	-1%
Gross profit	43,963	48,732	-10%	45,812	53,152	-14%
Gross margin	42%	46%	-3.9ppt	40%	46%	-6.0ppt
Non-GAAP operating profit	12,971	13,540	-4%	12,029	13,865	-13%
Non-GAAP op margin	12.5%	12.8%	-0.3ppt	10.5%	12.0%	-1.5ppt

Source: Nomura estimates

Fig. 4: Baidu consolidated – earnings estimate revisions

Nomura new estimates vs old						
(CNYmn except EPS)	FY26F			FY27F		
	New	Old	Diff	New	Old	Diff
Revenue	128,263	130,564	-2%	139,545	141,382	-1%
Gross profit	48,333	52,961	-9%	51,144	58,064	-12%
Gross margin	37.7%	40.6%	-2.9ppt	36.7%	41.1%	-4.4ppt
Non-GAAP operating profit	12,938	13,587	-5%	12,930	14,550	-11%
Non-GAAP op margin	10.1%	10.4%	-0.3ppt	9.3%	10.3%	-1.0ppt
Non-GAAP net profit	15,385	17,399	-12%	17,380	19,122	-9%
Non-GAAP EPS (CNY)	44.85	50.72	-12%	50.67	55.75	-9%

Source: Nomura estimates

Fig. 5: Baidu – SOTP valuation

USDbn	Valuation (USDbn)	Stake	Attributable valuation to Baidu	Valuation methodology	Note
Baidu General Business: ads business	1.5	100%	1.5	2x FY27F P/E	(1)
Baidu General Business: New businesses					
Baidu Cloud, excl. Kunlunxin	18.8	100%	18.8	3x FY27F P/S	
Kunlunxin chips (KLX)	43.2	58%	25.1	40% of Cambricon's latest market cap (unchanged)	Implying 15x FY27F KLX's sales, ~30% discount to Cambricon's
Robotaxi	2.0	100%	2.0	Average of the latest market cap of Weiride and Pony AI	
EV of new businesses			45.9		
Execution risks discount			40%		
Net EV of new businesses			27.5		(2)
Non-core and holding assets					
iQiyi (IQ US, Neutral)	3.0	45%	1.3		Nomura's target valuation for iQIYI
Trip.com (TCOM US, Neutral)	33.7	7.0%	2.4		Nomura's target valuation for Trip.com
EV of non-core assets			3.7		
Holding discount			60%		
Net EV of non-core assets			1.5		(3)
Total EV: (1)+(2)+(3)			30.5		
Net cash (ex-iQIYI)			27.8		
Net cash for SOTP			22.3		
Market cap			52.8		
TP (USD)			154		

Source: Company data, Bloomberg Finance L.P., Nomura estimates

Fig. 6: Baidu – Capital returns

Company Name	Market cap (USD mn)	Net cash (USDmn)	Cash as % of market cap	Buyback value (1H26, USDmn)	Dividend declared (1H26, USDmn)	Combined cash capital return (1H26, USDmn)	Combined capital return as % of market cap	Outstanding repurchase commitment (USDmn)	Repurchase commitment as % of market cap
Baidu	35,316	26,413	75%	259	0	259	0.7%	4,741	13.4%

Note: Market cap as of 17 August 2026.

Source: Company data, Bloomberg Finance L.P., Nomura research

Appendix A-1

This report has been produced by Nomura International (Hong Kong) Ltd. (NIHK), Hong Kong.

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Analyst Certification

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Materially mentioned issuers

Issuer	Ticker	Price	Price date	Stock rating	Sector rating	Disclosures
Baidu	BIDU US	USD 104.12	17-Aug-2026	Buy	N/A	A10,A35
iQIYI Inc	IQ US	USD 1.33	17-Aug-2026	Neutral	N/A	
Trip.com	TCOM US	USD 44.85	17-Aug-2026	Neutral	N/A	A10

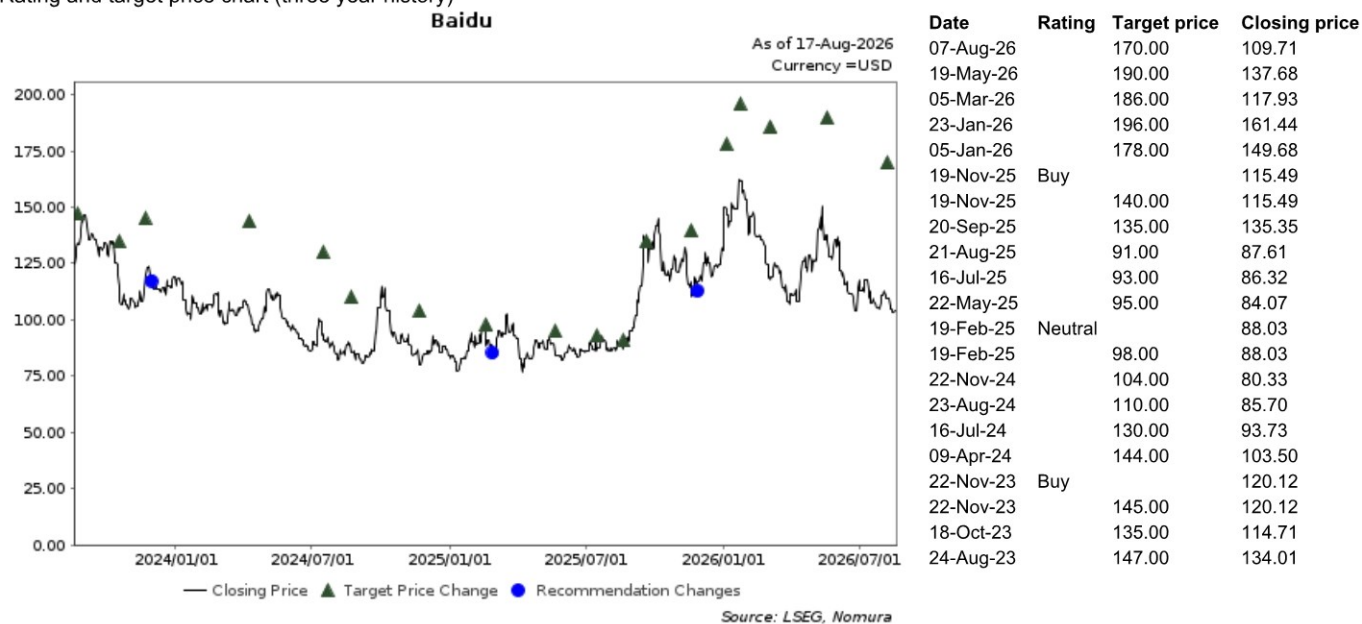
A10 The Nomura Group is a registered market maker in the securities / related derivatives of the issuer.

A35 The Nomura Group beneficially owns 1% or more financial interest in the subject company.

Baidu (BIDU US)

USD 104.12 (17-Aug-2026) Buy (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology Our SOTP-based TP is USD154. We value Baidu Core's ads business at USD1.5bn, based on a FY27F P/E of 2x. We value Baidu's new businesses including cloud, chips, SaaS and Robotaxi, etc. at USD27.5bn. The benchmark index for the stock is Nasdaq Composite.

Risks that may impede the achievement of the target price Downside risks include: 1) faster-than-expected deterioration in its traditional search ads; 2) slower-than-expected cloud and chip revenue; and 3) new regulations on other ad verticals.

iQIYI Inc (IQ US)**USD 1.33 (17-Aug-2026)** Neutral (Sector rating: N/A)

Rating and target price chart (three year history)



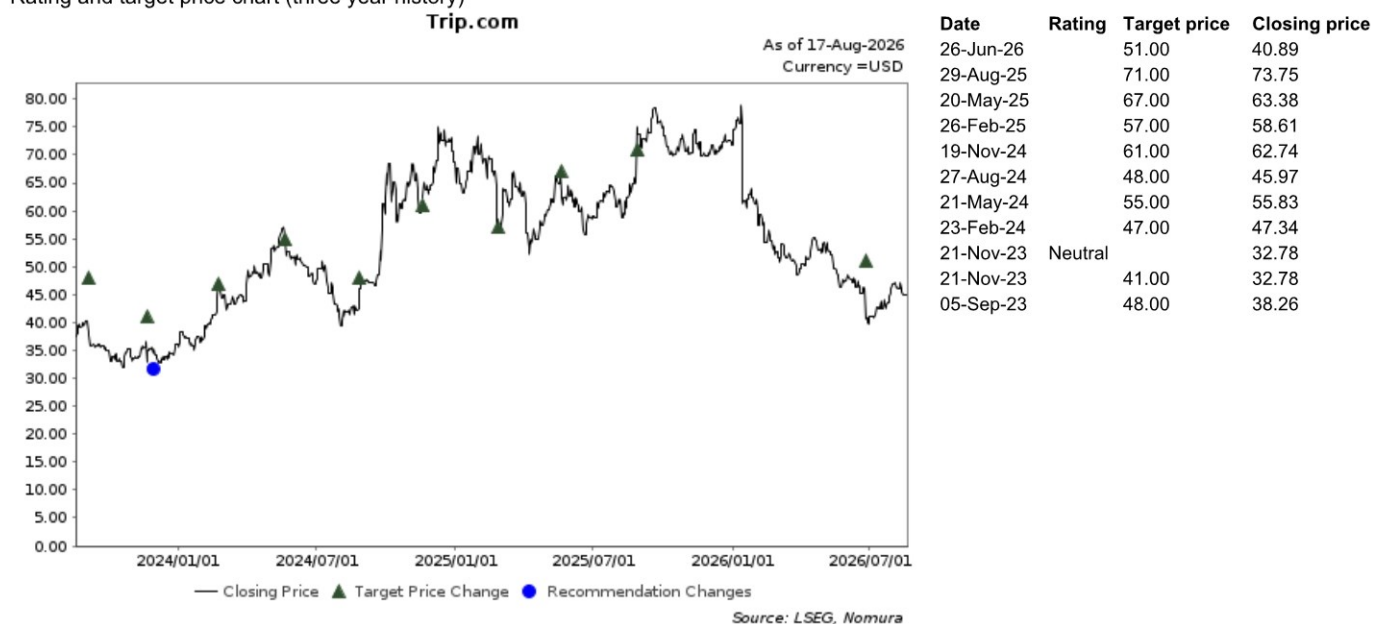
For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We set our TP at USD1.3, based on DCF valuation methodology, assuming a WACC of 9.7% and a terminal growth rate of 1%, with cash flows discounted back to FY26F. The benchmark index for the stock is Nasdaq Composite.

Risks that may impede the achievement of the target price Upside risks include: better-than-expected MAUs and subscriber growth; better-than-expected financial contribution from overseas and experience businesses; operating efficiency improvement from the execution of favourable regulatory policies and the application of AI technology. Downside risks include: 1) further deterioration in user growth and time spent by other entertainment contents, 2) intensified competition among long-form video platforms for users and content, and 3) further regulatory risks related to online video platforms or video content.

Trip.com (TCOM US)**USD 44.85 (17-Aug-2026)** Neutral (Sector rating: N/A)

Rating and target price chart (three year history)



For explanation of ratings refer to the stock rating keys located after chart(s)

Valuation Methodology We value Trip.com at USD51, based on 12x FY27F P/E. The benchmark index for the stock is Nasdaq Composite.

Risks that may impede the achievement of the target price Upside risks: (1) stronger-than-expected average spending per traveller; (2) faster-than-expected resumption of outbound travel with increasing international flight capacity, and; (3) sustained solid growth momentum for the China domestic travel market. Downside risks include: 1) a severe downturn in the global economy due to natural or man-made disasters; and 2) intensifying competition from emerging players.

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As at 30 June 2026.

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